

When things became worse, “those in managerial positions” were relieved of any loss, and the entire burden fell upon the stockholders.⁷

In its transactions *directly with its stockholders*, we see White Motor soliciting \$10,000,000 in new capital in 1926. We see some of this additional capital (not needed to finance sales) employed to buy back many of these very shares at one-fifth of the subscription price. The passing of the dividend was a major factor in making possible these repurchases at such low quotations. The facts just related without further evidence might well raise a suspicion in the mind of a stockholder that the omission of the dividend was in some way related to a desire to depress the price of the shares. If the reason for the passing of the dividend was a desire to preserve cash, then it is not easy to see why, since there was money available to buy in stock, there was not money available to continue a dividend previously paid without interruption for 15 years.

The spectacle of a company overrich in cash passing its dividend, in order to impel desperate stockholders to sell out at a ruinous price, is not pleasant to contemplate.

Westmoreland Coal Company: Another Example. A more recent illustration of the dubious advantage accruing to stockholders from a policy of open-market repurchases of common stock is supplied by the case of Westmoreland Coal. In the ten years 1929–1938 this company reported a net loss in the aggregate amounting to \$309,000, or \$1.70 per share. However, these losses resulted after deduction of depreciation and depletion allowances totaling \$2,658,000, which was largely in excess of new capital expenditures. Thus the company’s cash position actually improved considerably during this period, despite payment of very irregular dividends aggregating \$4.10 per share.

In 1935, according to its annual reports, the company began to repurchase its own stock in the open market. By the end of 1938 it had thus acquired 44,634 shares, which were more than 22% of the entire issue. The average price paid for this stock was \$8.67 per share. Note here the extraordinary fact that this average price paid *was less than one-half the cash-asset holdings alone* per share, without counting the very large other

⁷ In the sale to Studebaker in 1933 the directors set aside 15,000 shares of treasury stock as a donation to key men in the organization. Some White stockholders brought suit to set aside this donation, and the suit was settled by payment of 31 cents per share on White stock not acquired by Studebaker.